

Pricing Intelligence & Revenue Optimisation

Strategic Executive Report

Indian E-Commerce | 36-Month Analysis

1. Executive Summary

Objective: Evaluate how discount strategies affect revenue growth, pricing sustainability, and margin quality across the Indian e-commerce portfolio.

Key Finding: The business surrenders ₹1.61 billion in discount cost against ₹2.18 billion in actual revenue, retaining only 57.5 cents of every rupee earned. Of 224 segments analysed, 97% are classified as High risk and not a single segment qualifies as stable and scalable.

Core Problem: Discounting is embedded at depths that consistently destroy margin without generating demand. Festival periods underperform normal trading baselines across every category and brand type. Mass brand segments average 45-46% discounts against an identified optimal of 31-40%, and the 61-70% discount band spends more in foregone revenue than it collects.

Immediate Opportunity: Four simulation-validated actions can recover an estimated ₹346M or more in revenue with contained volume risk: reducing discounts in price-inelastic segments, migrating low-sensitivity age groups toward full-price exposure in three steps, enforcing a 30% discount ceiling on Premium brand, and activating demand in lower-tier states without any pricing change.

Recommendation: Implement policy changes in Months 1 to 2 at zero operational cost, sequence operational changes through Month 8, and use 18 months of live data to recalibrate the Mass brand discount strategy before broader intervention.

2. Business Context

The Indian e-commerce market is characterised by aggressive discounting, rapid demand shifts, and intense competitive pressure across product categories. Increasing discount intensity does not consistently translate into sustainable revenue growth, creating pressure on pricing discipline and revenue quality. This analysis evaluates how discounting strategies influence revenue growth, demand response, and pricing sustainability to identify where pricing strategies can be optimised across categories and customer segments.

3. Analytical Approach

Analysis draws on 36 months of transaction data across 14 states, 8 categories, and two brand tiers, evaluated across five dimensions: business performance, pricing and discount evaluation, demand response, revenue quality, and strategic risk. Full methodology is available in the appendix.

4. Key Insights

4.1 Discount Strategy Effectiveness

The business surrenders ₹1.61 billion in discount cost against ₹2.18 billion in actual revenue, retaining only 57.5 cents per rupee. Discount cost ratios have ranged between 0.67 and 0.81 across the full 36-month period with no improvement trend. At the 51-60% and 61-70% discount bands, the cost of discounting now exceeds the revenue those discounts generate.

The 31-40% discount band is the single most important intervention point in the portfolio, accounting for 21.1% of total revenue. The 21-30% band consistently delivers realisation above 0.74 and a DCR below 0.35. Performance deteriorates materially beyond the 40% threshold without compensating revenue outcomes.

The 61-70% band accounts for 20% of units but only 12-13% of total revenue, the widest unit-to-revenue gap in the portfolio. The recurring divergence between unit growth and revenue growth across all three years most likely reflects a product mix shift rather than a pricing change. Confirming this requires product-level analysis and represents the most important unresolved question in the dataset.

Mass brand carries an aggregate DCR of 0.847 against 0.437 for Premium. Mass segments average 45-46% discounts against a consistent optimal of 31-40% across 13 of 16 segments. This consistent overshoot implies the portfolio is leaving realisation on the table systematically, and the pricing architecture for Mass brand requires structural review rather than incremental adjustment.

Across 160 segments, the average positive discount response rate is 26%, barely above what chance alone would predict. Fewer than 20% of segments demonstrate a consistent discount-demand relationship. Electronics (Mass) is the highest-priority optimisation opportunity: 17.5% portfolio revenue share, an elasticity proxy of 48.1, and a current average discount of 45.7% against an identified optimal of 31-40%.

4.2 Revenue Concentration

Monthly revenue grew from approximately ₹56 crore in January 2023 to ₹84 crore in December 2025, a 49% increase. Growth was broad-based across all five zones. The top three states nonetheless account for 28-34% of monthly revenue in any given month, meaning a meaningful portion of the business remains sensitive to performance in a small set of markets.

Delhi NCR is the most consistent top performer, averaging approximately 9% of monthly revenue. Karnataka and Maharashtra are the highest-revenue anchors but exhibit sharp intra-year oscillations, meaning their scale comes with elevated risk of large absolute

drops in any given month. Revenue across all states shows high month-on-month volatility, with swings of 30-50% appearing consistently. This pattern points to demand that is event-driven rather than structurally compounding, which limits the reliability of short-term trend extrapolation.

Lower-tier states (Chhattisgarh, Odisha, West Bengal, and Uttar Pradesh) collectively contribute 5-6% each and have not materially gained share over the study period.

Unlocking demand in these states represents the primary geographic diversification opportunity and would meaningfully reduce concentration risk at the portfolio level.

4.3 Price Sensitivity

Age is the strongest predictor of price sensitivity and the clearest available lever for promotional targeting. Young Adults are the most price-responsive segment, with 81% classified as highly sensitive. Elderly customers show low sensitivity in 88% of segments, meaning discounts directed at this group largely erode margin without generating incremental volume. The business currently applies a broadly uniform discount strategy across segments with fundamentally different price responsiveness.

Premium brand demonstrates pricing power across all demographics without exception. Regardless of age group, category, or state, Premium segments consistently show elasticity proxies 30 to 50 times lower than their Mass equivalents, confirming genuine brand equity and supporting a margin-protection posture for Premium lines.

48% of segment combinations lack observations at low discount levels, meaning these segments are either never sold at full price (indicating discount dependency) or never sold at deep discount (indicating pricing power). Given that Elderly and Middle-aged segments demonstrate low price sensitivity, a gradual introduction of full-price exposure in these segments represents one of the clearest margin recovery opportunities in the dataset and could be tested without meaningful volume risk.

4.4 Competitive Pressure

As competition rises from Low to High intensity, weighted average discounts climb from approximately 32% to 40%. Revenue per unit does not recover proportionally:

realisation ratios fall from 0.69 to 0.60. The business is spending more on discounts under competitive pressure without generating the volume uplift that would justify the incremental cost.

The 61-70% discount band behaves as a consistent value destructor at every competition level, carrying a DCR above 1.7 regardless of intensity. There is no evidence that discounts in the 51-70% range produce revenue outcomes that justify their cost under any level of competitive intensity. The efficiency ceiling at the 21-30% band holds across all competition levels, making the case for a discount ceiling policy anchored in the 21-40% range with defined authorisation thresholds before deeper markdowns are deployed.

Home & Living is the only category showing meaningful pricing resilience under High competition, with a realisation ratio of 0.62. All other categories converge uniformly at 0.60, indicating a blanket discount response to competitive pressure rather than differentiated, category-specific management. That absence of differentiation is where significant margin is being lost.

4.5 Inventory Pressure

High-pressure groups discount at an average of 37.3% versus 32.8% under low pressure, confirming that pricing responds to stock stress, but not with sufficient structure to prevent margin damage. The 61-70% discount band under high pressure moves the most units in the portfolio but captures only 37 cents of every base-price rupee and spends ₹1.69 in foregone revenue for every ₹1.00 collected.

The 31-40% discount band is the consistent optimum for inventory clearance across every category under high pressure, delivering 65% realisation and a manageable DCR of 0.54. The business routinely overshoots this ceiling, and the margin cost is material and recurring.

Mass brand is carrying a disproportionate share of the clearance burden: Mass SKUs under pressure average 40.5% discount versus 34.5% for Premium, and a DCR of 0.92 versus 0.57. Premium brand demonstrates that tighter pricing discipline is achievable

even under equivalent stock stress, meaning the Mass brand gap is a governance issue rather than a structural inevitability. Home & Living provides the clearest benchmark for controlled inventory clearance, with the smallest discount escalation under pressure and the highest realisation among high-pressure segments at 0.64.

4.6 Festival vs Normal Sales Periods

Across every category and brand type, festival months generate less revenue than normal months, not less than a promotional peak, but less than the everyday baseline. Festival periods are consistently cannibalising revenue that would otherwise have been earned under standard trading conditions, and this has been the case across all three years of the study period.

Festival discount rates run 8 to 12 percentage points higher than normal months, averaging 48-56% against a normal-period range of 40-46%, yet unit sales also fall below the normal baseline. The business is simultaneously sacrificing margin and failing to generate compensating volume. This combination eliminates the two most common justifications for promotional investment.

Premium brand segments are more acutely affected, with steeper negative uplift in both revenue and units during festival periods. Electronics and Premium Lifestyle carry the largest absolute revenue exposure from this pattern. The consistency of festival underperformance across all three years rules out noise as an explanation. A structural review of festival investment is warranted, examining whether promotional spend currently allocated to festival periods would generate stronger returns if redirected toward normal-period demand stimulation.

5. Risk-Adjusted Performance

Of 224 segments analysed across 14 states, 8 categories, and two brand tiers, not a single segment qualifies as Protect and Scale. With 97% of segments sitting in the High risk tier, the portfolio is almost uniformly fragile, differentiated only by the nature and severity of that fragility.

The 54 Urgent Review segments account for ₹1.22 billion, representing 56% of total portfolio revenue, concentrated in Mass brand Premium Lifestyle and Electronics across Karnataka, Maharashtra, and Delhi NCR. These are simultaneously the most commercially important positions and the most structurally exposed. Continued inaction risks meaningful revenue deterioration in the areas where the business can least afford it.

The aggregate portfolio view is masking category-level erosion already underway. Premium Lifestyle (Mass) moved from a DCR of 0.857 in 2024 to 0.931 in 2025, the sharpest single-year deterioration recorded. Electronics (Mass) has risen steadily from 0.868 to 0.900. Neither trend is visible at the aggregate level, meaning the portfolio view is providing false reassurance about the trajectory of the two most important revenue segments.

Despite lower average discounting (28% versus 45% for Mass) and stronger price realisation (71.7% versus 55.5%), Premium segments carry a higher average risk score of 75.8 compared to 57.8 for Mass. The driver is demand volatility rather than discount dependency. Premium brand's pricing advantage does not translate into commercial stability: it is a margin story, not a resilience story, and should be managed accordingly.

The compounding effect of overlapping risk conditions is most visible when festival periods and competitive pressure coincide. At that intersection, average discounts reach 52.7% and the DCR reaches 1.247, meaning the business spends ₹1.25 in discounts for every ₹1.00 earned. This triple-risk combination accounts for ₹137 million in revenue and currently functions as a default commercial response rather than a deliberate, bounded spend decision.

Gujarat's hotspot DCR of 1.547 is the highest of any state, meaningfully above Delhi NCR at 1.483 and Tamil Nadu at 1.478, pointing to a state-specific pricing or competitive dynamic requiring dedicated investigation. The portfolio's only stable baseline is six Medium-risk Mass brand segments. Understanding what differentiates their stability from structurally similar Urgent Review counterparts represents one of the most valuable near-term analytical questions available.

6. Priority Actions

Five actions are recommended for immediate prioritisation based on simulation evidence and implementation readiness.

- Introduce a hard discount ceiling at 40% for Mass brand segments, with escalation approval required before any transaction is routed into the 51-70% discount bands.
- Reduce average discount depth in Electronics (Mass) from 45.7% to the 31-40% optimal band to recover realisation without meaningful volume risk.
- Gradually introduce full-price exposure for Elderly and Middle-aged customer segments beginning in low-elasticity categories, using a three-step implementation structure.
- Ringfence Premium brand discount depth at 30% or below across all categories and channels to protect its demonstrated margin advantage.
- Redirect festival promotional spend toward normal-period demand stimulation in Sports & Fitness, Home & Living, and Electronics, where organic uplift already occurs without elevated discounting.

Further Investigation

- Build a rules-based promotional calendar for Mass Fashion and Mass Premium Lifestyle to eliminate discretionary markdown decisions in the two highest price-sensitivity categories.
- Conduct a dedicated pricing audit in Gujarat to identify the state-specific dynamic driving the highest discount cost ratio in the portfolio.

- Benchmark Home & Living markdown governance practices across all other categories given its consistent outperformance on realisation under both inventory and competitive pressure.
- Investigate the six Medium-risk Mass brand segments to identify what differentiates their stability from structurally similar Urgent Review segments.
- Adopt the 31-40% band as the default ceiling for all inventory-driven markdowns, with a structured authorisation process required before deeper clearance cuts are approved.
- Develop a category-level discount response policy distinguishing price-elastic categories from price-inelastic ones, applying discounts selectively rather than uniformly.
- Establish realisation ratio and discount cost ratio targets at the segment level as performance metrics alongside revenue, so that margin quality is tracked with the same rigour as top-line growth.
- Treat the triple-risk combination of festival period, high competition, and deep discounting as a controlled spend decision with a defined budget ceiling rather than a default commercial response.
- Prioritise product-level data collection to resolve the unit-revenue divergence question, as the root cause cannot be confirmed or acted on without granular category data.

7. Strategic Simulation

The simulation modelled 12 pricing scenarios using historical data to estimate the revenue and realisation impact of each opportunity if acted upon. Results are summarised below.

Opportunity	Revenue Delta	Notes
Opportunities Generating Positive Revenue Impact		
OPP_09: Price-Inelastic Segments to Optimal Band	+7.6% (+₹166M)	Strongest single result. Home & Living, Footwear, Premium Lifestyle repriced to 30.76% optimal. Unit loss contained at -11.6% due to low price sensitivity (elasticity 0.2).
OPP_05: Age Segment Full-Price Migration (Step 3)	+5.5% (+₹119M)	Three-step rollout: 30%, 25%, 20% cap. Unit loss at final step: -11.6%. Low elasticity confirmed. Gradual implementation protects against volume shock.
OPP_12: Lower-Tier State Volume Growth (30% gap closure)	+5.1% (+₹111M)	Zero unit loss risk. A pure volume upside play. No pricing change required. Lever is availability, visibility, and market activation.
OPP_06: Premium Brand Discount Cap at 30%	+1.2% (+₹26M)	Clean, low-risk result. Only -5.5% unit loss. Premium buyer stickiness (DCR 0.437) absorbs the price increase well.
OPP_04: Remove Festival Discounting in Electronics and Premium Lifestyle	+0.68% / +0.67% (+₹15M)	Small but credible. Festival discounts returned to normal-period weighted averages. Unit loss under -8% in both cases.
OPP_07: Inventory Markdown Cap at 40%	+0.44% (+₹9.5M)	Revenue recovers but unit cost is -24.7%. Inventory not cleared at 40% may require deeper cuts later. Downstream clearance risk is unmodelled.
OPP_10: Festival Spend Reallocation to Normal Periods	+14.9% (+₹324M) *	*Upper bound only. Simulation applied discount reductions portfolio-wide simultaneously. Direction is correct; magnitude is overstated.
Opportunities That Were Negative or Not Viable		
OPP_08: Triple-Risk Combination Removal	-0.13%	Deep discounts during festival periods with high competition are doing real competitive work. Removal creates enough volume loss to net negative.
OPP_11: Grocery Essentials Discount Recovery	-0.26% to -0.31%	High elasticity (0.9) means volume loss consistently outpaces price recovery. Over-discounting hypothesis does not hold at this sensitivity level.
OPP_01/02/03: Mass Brand Caps and Deep Band Shifts	All negative	Mass brand elasticity (0.8) is too high for a single-step policy cap to recover revenue. Requires a surgical approach targeting specific sub-segments where sensitivity is lower.

Note: OPP_10 is included as a directional indicator only. The remaining positive-delta opportunities represent the stronger candidates for implementation.

8. Final Strategic Recommendations

Four opportunities are identified as immediately viable based on positive revenue delta, contained unit loss, and high result confidence.

Recommendation 1: OPP_09 - Inelastic Segment Discount Reduction

What: Cap discounts in Home & Living, Footwear, and Premium Lifestyle at 31%. Any promotion in these categories currently priced above that threshold is repriced to the optimal band at the point of promotion planning.

Why now: Strongest single simulation result. Low elasticity means buyers in these segments are demonstrably not driven by discount depth. The business is leaving margin on the table with every deep discount applied here.

Recommendation 2: OPP_05 - Age Segment Full-Price Migration

What: Implement a three-step discount reduction for Elderly and Middle-Aged customer segments, starting at a 30% cap, moving to 25%, then 20% over time. Each step is held for one full trading cycle before the next is applied.

Why now: The step structure already exists in the simulation. Low elasticity confirms these segments are not price-driven. The gradual approach protects against volume shock while steadily recovering margin.

Recommendation 3: OPP_12 - Lower-Tier State Demand Activation

What: Design and deploy targeted demand generation activity in Uttar Pradesh, West Bengal, and Odisha. This is not a discount play: it is a volume play. Pricing stays as is. The lever is availability, visibility, and market activation.

Why now: Zero downside risk in the simulation. No unit loss, no margin erosion. Pure upside. Even closing 10% of the gap adds +₹37M to the portfolio.

Recommendation 4: OPP_06 - Premium Brand Discount Ceiling

What: Enforce a hard 30% discount ceiling on all Premium brand activity across all categories and channels. No promotional event should breach this threshold for Premium.

Why now: Premium buyer stickiness is confirmed by a DCR of 0.437. The brand equity case and the financial case point in the same direction. This is a policy change, not an operational change: it costs nothing to implement and protects +₹26M.

9. Implementation Roadmap

Guiding principle: Sequence by effort-to-impact ratio. Policy changes go first, operational changes second, market activation third.

Phase 1: Immediate (Months 1-2) - Policy Changes at Zero Operational Cost

- OPP_06: Issue a pricing governance rule prohibiting Premium brand promotions above 30%. No systems change required. Apply immediately to all future campaign briefs.
- OPP_09 (partial): Flag Home & Living, Footwear, and Premium Lifestyle as controlled categories in the promotion planning workflow. Discounts above 31% require sign-off before approval.

Deliverable: Updated promotion approval policy communicated to commercial and marketing teams.

Phase 2: Short-Term (Months 3-8) - Data Infrastructure and Operational Rollout

- Validate customer age group tagging at the transaction level before OPP_05 implementation. Set formal baselines for discount, revenue, and units by age group.
- Audit SKU availability, pricing parity, and fulfilment coverage in the three lower-tier states to identify the constraint before designing OPP_12 activation.
- Roll OPP_05 Step 1 from Month 5: cap Elderly and Middle-Aged discounts at 30%. Hold for a full 8-week trading cycle before measuring.
- Complete OPP_09 full implementation: enforce the 31% ceiling in controlled categories for all promotional events including seasonal and clearance.
- Launch OPP_12 demand activation in the highest-opportunity state first to test the activation model before scaling.

Deliverable: Month 8 performance review against simulation projections.

Phase 3: Review and Scale (Months 9-24) - Recalibrate and Expand

- Advance OPP_05 to Step 2 (25% cap) if Month 8 unit loss is within -10% tolerance, and to Step 3 (20% cap) if Step 2 holds.
- Scale OPP_12 activation to all three states if wave one results support it. At 30% gap closure, portfolio impact reaches +₹111M, the largest no-risk upside in the plan.
- Conduct a full portfolio review at Month 18 against simulation projections across all four implemented opportunities.
- Use live elasticity data from OPP_05 and OPP_09 to recalibrate Mass brand simulations (OPP_01/02/03) with observed rather than estimated inputs. Make a fresh go/no-go decision on broader Mass brand intervention.

Deliverable: 18-month impact report. Updated simulation for OPP_01/02/03 with observed elasticity inputs.